

Documentation Is Cross-Functional Leverage, Not Clerical Output

Why the artifacts organizations treat as low-status overhead are the mechanism that coordinates work, makes decisions durable, and now determines what AI can do

Marco Policani

Enterprise Portfolio · PMO · AI Operating Governance

policani.net · linkedin.com/in/marcpolicani

July 2026

DECISION SIGNAL

Treat documentation as the shared operating record that lets work move, decisions hold, and AI use trusted sources.

Executive premise

Documentation has a status problem that costs organizations far more than they realize. It is often treated as low-value paperwork: written after the real work, delegated to whoever is available, and cut when time is short. That diagnosis is wrong. Documentation gives teams a shared record to coordinate from, preserves the reasons behind decisions, carries knowledge across turnover, and gives AI a source it can use reliably. Misclassifying it as overhead creates expensive failures.

The claim of this paper is that documentation is cross-functional leverage, an asset whose value shows up in the coordination it enables and the failures it prevents, and that treating it as clerical output causes those failures precisely because the cost of missing documentation is invisible until it arrives, late and expensive. The argument matters more now than it did a few years ago, because AI has turned documentation from a human convenience into a machine input: the quality of an organization's documentation has quietly become a ceiling on the reliability of its AI.

This is not a plea for more documentation, which would miss the point as badly as producing none. It is an argument about what documentation is for and therefore how it should be valued, owned, and governed. Good documentation is leverage; bad or absent documentation is a liability that surfaces as coordination failures, repeated mistakes, lost knowledge, and unreliable AI. The rest of this paper makes the case for the leverage framing, explains why the clerical framing persists despite being costly, and describes how to treat documentation as the asset it is.

Why documentation looks clerical but is not

Documentation looks clerical because its value is quiet when it works and visible only when it fails. When documentation is good, work moves and no one notices it. When it is missing, failures surface later as botched handoffs, relitigated decisions, and lost expertise. AI makes the consequence immediate: the documentation is the source AI reads from, so its quality directly caps what the AI can reliably do. A better model does not fix a poor source.

The cost of its absence, by contrast, is real but usually misattributed. When documentation is missing, the failures show up somewhere else and later: the handoff that went wrong, the decision that was relitigated because no one recorded why it was made, the expertise that walked out the door with a departing employee, the project that repeated a predecessor's mistake because the lesson was never written down. These are recorded as coordination problems, turnover costs, or execution failures, not as documentation failures, so the organization never connects the pain to the missing asset that would have prevented it.

This asymmetry, invisible value and misattributed cost, is exactly why documentation is chronically undervalued and underinvested. An organization optimizing on what it can see will cut the thing whose value is invisible and whose absence hurts elsewhere, and it will feel efficient doing so, right up until the accumulated cost of missing documentation surfaces as a class of failures no one traces back to the cut. The clerical framing is not a neutral description; it is the misperception that licenses the underinvestment.

What documentation actually does

Documentation can be defined by its function rather than its form:

Documentation is the durable, shared representation of what an organization knows, decides, and does, which lets work be coordinated across people and functions, lets decisions persist beyond the moment and the individuals who made them, lets knowledge survive turnover, and lets both humans and AI act on the organization's knowledge without re-deriving it. It is leverage precisely because it lets the same knowledge be used many times, by many parties, without the person who holds it being present.

That definition names four distinct leverage functions, and it is worth separating them because organizations tend to see at most one. Documentation coordinates cross-functional work by giving separate functions a shared reference they can act on without renegotiating. It makes decisions durable by recording not just what was decided but why, so the decision holds and is not relitigated. It provides knowledge continuity, so expertise does not leave when a person does. And it now serves as the input to AI, determining what an AI system can reliably retrieve and produce. Each of these is a form of leverage, and none of them is clerical.

Documentation as cross-functional coordination

The most underappreciated leverage function is coordination. Cross-functional work, by definition, spans people who do not share context, cadence, or vocabulary, and the thing that lets them act coherently without a meeting for every decision is a shared, durable representation of the plan, the decisions, and the state, which is to say documentation. Without it, coordination reverts to

synchronous communication, endless meetings and messages to reconstruct what everyone should have been able to read, which does not scale and degrades as the number of functions grows.

This is why documentation is disproportionately valuable at exactly the seams where organizations struggle most: the handoffs between functions, the interfaces between teams, the transitions between phases. A well-documented handoff lets the receiving function act without a lengthy verbal download from the sending one; a poorly documented handoff loses information, requires rework, and breeds the finger-pointing that follows lost context. The quality of an organization's cross-functional coordination is, to a large degree, the quality of the documentation at its seams, and organizations that treat that documentation as clerical are underinvesting in the exact place their coordination most often fails.

Senior practitioners who work across functions understand this instinctively: the documentation is not the record of the work, it is part of how the work gets done and how the person doing it earns influence across boundaries. The person who produces the clear, shared artifact that lets five functions align is exercising leverage, shaping how the work proceeds without having authority over any of the functions, which is precisely the kind of cross-functional impact that goes uncounted because it looks like documentation rather than leadership.

Documentation is now the input to AI

The leverage argument acquires a hard new edge from AI. When an organization applies AI to its own knowledge, through retrieval, assistance, or agents that act on internal information, the documentation is the source the AI reads from, which means the quality of the documentation directly determines what the AI can reliably do. Research on data quality in retrieval-augmented generation found that quality issues concentrate early, at the source and ingestion stages, and propagate through retrieval and generation, which in practical terms means the AI cannot rise above the quality of the documentation it is built on.¹

This turns a long-standing soft argument into a concrete constraint. Before AI, the cost of poor documentation was diffuse and deferred, and an organization could tolerate it for years. With AI reading from that same documentation, the cost becomes immediate and visible: poor documentation produces an unreliable AI, and a better model does not fix it, because the problem is in the source. The organizations discovering this are finding that their AI ambitions are gated by the state of their documentation, and that improving it is unavoidable rather than optional. Documentation quality has become AI-readiness, which is perhaps the clearest possible refutation of the clerical framing: the thing treated as low-status overhead turns out to be the ceiling on the organization's most-hyped capability.

Reading the difference

Whether an organization treats documentation as clerical output or as cross-functional leverage shows up in what it optimizes and what it therefore loses. The table pairs the clerical assumption with the leverage reality it obscures.

The clerical assumption	What it leads the organization to do	The leverage reality it obscures
Documentation is after-the-fact paperwork	Produce it last, cut it first	It is how cross-functional work is coordinated
Its value is the record it leaves	Judge it by completeness, not use	Its value is the coordination and decisions it enables
Anyone spare can write it	Delegate it away from those who did the work	Good documentation encodes hard-won judgment
Its cost is the time to produce it	Minimize that time	Its real cost is the failures its absence causes later
It is a human convenience	Ignore its structure and quality	It is now the input that caps AI reliability

The right column is what the clerical framing cannot see, and therefore cannot value. Every entry is a form of leverage, and an organization that governs documentation as overhead is systematically underinvesting in the mechanism that coordinates its work and, now, powers its AI.

Why leverage gets treated as overhead

If documentation is leverage, why do capable organizations persist in treating it as overhead? The answer is a combination of incentives and visibility that pushes rational actors toward underinvestment. Documentation's benefits are diffuse, deferred, and shared, they accrue to future people, other functions, and the organization as a whole, while its costs are concentrated, immediate, and personal, borne by whoever has to produce it now instead of doing something more visibly rewarded. An individual optimizing for their own recognized contribution will rationally skimp on the artifact whose payoff goes to someone else later.

The status hierarchy compounds this. Documentation is coded as low-status precisely because its value is invisible, and low-status work is delegated to the least experienced, who are least equipped to encode the hard-won judgment that makes documentation valuable. This creates a self-fulfilling cycle: documentation is treated as unimportant, so it is done by those with the least context, so it is shallow and quickly outdated, so it fails to deliver leverage, which confirms the belief that it was never that valuable. The cycle is broken not by exhortation to document more but by changing who owns it and how it is valued.

Leaders underestimate how much of this is a design choice rather than a cultural inevitability. An organization that assigns documentation ownership to the people who hold the knowledge, values the artifacts by the coordination and reuse they enable rather than by their existence, and recognizes the cross-functional influence that good documentation produces, gets different behavior. The clerical framing is not human nature; it is the predictable result of measuring documentation by its cost and never by its leverage.

Treating documentation as leverage

Governing documentation as the asset it is comes down to a short set of disciplines, each of which reframes documentation from clerical output to owned infrastructure.

- Assign ownership to the people who hold the knowledge, not to whoever can be spared — because documentation's value is the judgment it encodes, which only the knowledgeable can provide.
- Value it by use, not by existence: judge documentation by whether it enables coordination, decisions, and reuse, not by whether a document exists to check a box.
- Invest most at the seams — the cross-functional handoffs and interfaces where missing documentation causes the most expensive failures.
- Keep it current and owned, with a lifecycle, because stale documentation misleads and unowned documentation decays into the liability that discredits the whole practice.
- Structure it for reuse by humans and machines, because documentation is now an AI input, and unstructured, inconsistent source caps what AI built on it can do.
- Recognize the cross-functional influence it produces, so the leverage is rewarded rather than treated as invisible clerical effort.

None of these disciplines is about producing more documentation; several will produce less, because valuing documentation by use rather than existence retires the box-checking documents that consume effort and deliver nothing. The move is from volume to leverage: fewer, better-owned, current, reusable artifacts at the points where they coordinate work and power AI, rather than a large archive of shallow documents no one maintains and no one, human or machine, can rely on.

What it looks like in practice

The safest illustrations are operating patterns, not named engagements. In program and portfolio work, the durable pattern is that structured, owned program documentation is not a record produced alongside the work but part of the operating model that makes the work coordinable across functions and durable across time.

In one pattern, comprehensive program documentation, an operating model captured as a living, owned artifact rather than a static deliverable, was what let a large cross-functional effort coordinate without constant synchronous overhead: functions acted from a shared reference, handoffs carried their context, and decisions held because their rationale was recorded. The documentation was leverage in the most literal sense, it let the work of coordinating many functions be done once and reused continuously, rather than renegotiated in meeting after meeting.

In a second pattern, the same discipline turned out to be the foundation for applying AI to the organization's knowledge: because the documentation was owned, structured, and current, AI could retrieve from it reliably, whereas an equivalent effort documented informally would have produced the confident, inconsistent AI answers that come from an ungoverned source. The pattern connects the two arguments of this body of work: documentation is cross-functional leverage for humans, and it is the governed source that makes AI reliable, and both depend on treating it as an owned asset rather than clerical output.

Evidence gaps this paper cannot close

Two limits are worth stating. First, the cost of poor documentation is genuinely hard to measure, which is part of why it is underinvested; widely circulated figures on the cost of lost knowledge and poor documentation often trace to older or vendor-sponsored studies and should not be treated as precise, so this paper argues the mechanism and direction rather than a specific quantified loss, and readers should look at their own coordination failures and AI-readiness rather than import a headline number. Second, documentation is leverage only when it is good; this paper is emphatically not an argument for more documentation of any quality, and volume without ownership, currency, and structure is itself a liability. The claim is about treating documentation as an owned, use-valued asset, not about producing more of it, and conflating the two would reproduce exactly the waste the clerical framing already causes.

Starting where the seams are

An organization that accepts the leverage framing does not need a documentation initiative, which would likely reproduce the volume-over-value mistake. It needs to redirect its documentation effort to

where the leverage is highest, and the highest-leverage place is almost always the cross-functional seams: the handoffs, interfaces, and transitions where missing documentation causes the most expensive coordination failures. Improving the documentation at those seams returns more than improving documentation anywhere else, because that is where the absence hurts most and the presence coordinates most.

The second high-leverage target is whatever knowledge the organization most cannot afford to lose, the expertise concentrated in a few people, the decisions whose rationale would be costly to reconstruct, the context that would leave with a departure. Documenting that knowledge is insurance with an unusually high payoff, because its loss is both likely over time and severe when it happens. And the third target, increasingly, is whatever the organization intends to point AI at, because that documentation has become the source that determines whether the AI is reliable, and bringing it to standard is a prerequisite for the AI ambition rather than a separate project.¹

Sequencing documentation effort this way, seams first, critical knowledge next, AI sources alongside, keeps the discipline proportionate and evidence-led rather than turning it into a boil-the-ocean push to document everything. The organization improves documentation where improving it changes outcomes, demonstrates the leverage concretely, and builds the case for treating documentation as an owned asset from results rather than from exhortation. This is the same priority-driven approach that governs any scarce resource: spend it where the return is highest, not uniformly across everything.

Documentation is the substrate of governance

There is a final reason to take documentation seriously that ties it to the whole practice of governance: documentation is the substrate on which governance runs. Every governance discipline worth the name, decision rights, evidence duties, benefits baselines, portfolio decisions, oversight records, depends on something being written down durably enough that a named person can be held to it later. A decision right that exists only in someone's memory is not a control; an evidence duty with no artifact is not evidence; a benefit with no recorded baseline cannot be verified. Governance without documentation is aspiration, because there is nothing to inspect and no one to hold accountable against a record.

This means the leverage documentation provides is not only operational but governing. The reason an organization can answer for what an agent decided, whether a benefit materialized, why a project was funded or stopped, or how an AI system was used, is that these things were documented in a form that survives the moment and the people. The clerical framing, by devaluing the artifact, quietly undermines the entire governance apparatus that depends on it, because a governance system whose records are treated as low-status paperwork is a governance system whose memory is optional. The organizations that govern well are, without exception, organizations that document well, because the second is the precondition for the first.

Seen this way, documentation is the connective tissue of everything an operating leader tries to build. It is what makes coordination possible across functions, what makes decisions durable across time, what makes knowledge survive across people, what makes AI reliable across a knowledge base, and what makes governance real across all of them. That is an extraordinary amount of leverage to keep miscategorizing as overhead, and recovering it starts with the simple, consequential act of refusing to call the most leveraged artifact in the organization mere paperwork.

The shift

The framing an organization uses for documentation determines how it invests in it, and the clerical framing licenses exactly the underinvestment that produces coordination failures, lost knowledge, and now unreliable AI. Documentation is not the low-value paperwork produced after the real work; it is a large part of how the real work gets coordinated across functions, how decisions are made durable, how knowledge survives the people who hold it, and how AI is enabled to act on what the organization knows. It is leverage, and its value is invisible only because it works quietly and fails elsewhere.

Treat documentation as the cross-functional asset it is: owned by the people who hold the knowledge, valued by the coordination and reuse it enables rather than by its existence, invested at the seams where it matters most, kept current and structured for both human and machine use. Do that, and documentation becomes the leverage that makes cross-functional work coherent and AI reliable. Keep treating it as clerical output, and the organization will keep paying for the leverage it refused to build, in failures it never traces back to the artifact it chose not to value. Stop calling it paperwork. Start governing it as leverage.

Notes and sources

1. Leopold Mueller, Joshua Holstein, Sarah Bause, Gerhard Satzger, and Niklas Kuehl, "Data Quality Challenges in Retrieval-Augmented Generation," arXiv:2510.00552, October 2025. Verified July 9, 2026. <https://arxiv.org/abs/2510.00552>
2. Project Management Institute, governance and delivery guidance on program and project documentation, knowledge transfer, and benefits management, including PMI standards and Pulse of the Profession thought leadership. Verified July 9, 2026. <https://www.pmi.org/standards>
3. National Institute of Standards and Technology, "Artificial Intelligence Risk Management Framework: Generative Artificial Intelligence Profile," NIST AI 600-1, July 2024 (data provenance and information integrity as lifecycle concerns). Verified July 9, 2026. <https://doi.org/10.6028/NIST.AI.600-1>

About the author

Marco Policani is an enterprise portfolio, PMO, and AI operating-governance leader. He builds portfolio governance systems where AI carries the analytical load and named humans own every decision — an approach documented across case studies, walkthroughs, and working governance guides on his portfolio site.

Portfolio & governance library: policani.net/governance · Full portfolio: policani.net · LinkedIn: linkedin.com/in/marcpolicani

This white paper may be shared freely with attribution. © 2026 Marco Policani.